

6-6a Political Views on FDI

There are three primary political views on FDI. First, the **radical view** (A political view that is hostile to FDI.) is hostile to FDI. Tracing its roots to Marxism, the radical view treats FDI as an instrument of imperialism and as a vehicle for exploitation of domestic resources by foreign capitalists and firms. Governments embracing the radical view often nationalize MNE assets, or simply ban (or discourage) inbound MNEs. Between the 1950s and the early 1980s, the radical view was influential throughout Africa, Asia, Eastern Europe, and Latin America. However, the popularity of this view is in decline worldwide, because

- (1) economic development in these countries was poor in the absence of FDI, and
- (2) the few developing countries (such as Singapore) that embraced FDI attained enviable growth (see [Chapter 1](#)).

Why have some countries welcomed FDI, like US-based Ford's plan to build this manufacturing plant in China?

Shi Tou/Reuters

On the other hand, the

free market view (A political view that suggests that FDI unrestricted by government intervention is the best.)

suggests that FDI, unrestricted by government intervention, will enable countries to tap into their absolute or comparative advantages by specializing in the production of certain goods and services. Similar to the win-win logic for international trade as articulated by Adam Smith and David Ricardo (see [Chapter 5](#)), free market-based FDI will lead to a win-win

situation for both home and host countries. Since the 1980s, a series of countries, such as Brazil, China, Hungary, India, Ireland, and Russia, have adopted more FDI-friendly policies.

However, in practice, a totally free market view on FDI does not really exist. Most countries practice

pragmatic nationalism (A political view that only approves FDI when its benefits outweigh its costs.)

—viewing FDI as having both pros and cons and only approving FDI when its benefits outweigh costs. The French government, invoking “economic patriotism,” has torpedoed several foreign takeover attempts of French firms. The Chinese government insists that automobile FDI has to take the form of JVs with MNEs so that Chinese automakers can learn from their foreign counterparts. The US government has expressed alleged “national security concerns” over the FDI made by Chinese telecom equipment makers Huawei and ZTE.

More countries in recent years have changed their policies to be more favorable to FDI. Even hardcore countries that practiced the radical view on FDI, such as Cuba and North Korea, are now experimenting with some opening to FDI, which is indicative of the emerging pragmatic nationalism in their new thinking. However, there is some creeping increase of restrictions in the form of policies discouraging inbound FDI in some countries. For example, France and Russia have recently issued decrees reinforcing control for FDI in the interest of public security or national defense.

Chapter 6: Investing Abroad Directly: 6-6a Political Views on FDI

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